CLIENT PAPER – FOR NEGOTIATION

Master Software Development Services Agreement

by and between

NovaRetail Inc.

(“Client”)

and

Ruth

(“Vendor” or “Ruth”)

Effective Date: **July 2026**

Project: *NovaRetail Commerce Platform – Web & Mobile Development*

1. Parties and Recitals

This Master Software Development Services Agreement (this "**Agreement**") is entered into as of the date of last signature below (the "**Effective Date**"), by and between:

NovaRetail Inc., a corporation duly organized and existing under applicable law, with its principal place of business as set out in the signature block below ("**Client**" or "**NovaRetail**"); and

Ruth, a software development company with approximately 150 employees, specializing in full-stack engineering and applied machine learning / AI development services, with its principal place of business as set out in the signature block below ("**Vendor**" or "**Ruth**").

Client and Vendor are each referred to herein as a "**Party**" and collectively as the "**Parties**."

Recitals

(a) Client operates a business-to-consumer e-commerce platform and wishes to engage a qualified third-party development firm to design, build, and deliver a modern, full-stack e-commerce web and mobile application, including a customer-facing portal, an administrative dashboard, payment processing integration, and inventory management functionality (the "**Project**").

(b) Vendor represents that it has the requisite skill, personnel, and experience to perform such services and is willing to provide such services to Client on the terms set out in this Agreement.

(c) The Parties intend that this Agreement shall serve as the master framework governing the Project, with specific scope, deliverables, timelines, and fees set out in one or more Statements of Work executed by the Parties under Section 3.

(d) The Parties intend for the Project to proceed on a fixed-price basis, structured around defined milestones, over an anticipated duration of five (5) months from the Effective Date, as further detailed in the Initial SOW (defined below).

NOW, THEREFORE, in consideration of the mutual covenants contained herein, the Parties agree as follows.

2. Scope of Services and Deliverables

2.1 Overview of Services

Vendor shall design, develop, test, and deliver a full-stack e-commerce web and mobile application substantially in accordance with the specifications set out in the Statement of Work attached as **Exhibit A** (the "**Initial SOW**"), together with any subsequent Statements of Work executed pursuant to Section 3 (collectively, the "**Services**"). The Services and associated work product to be delivered under the Initial SOW include, without limitation:

(a) **Customer Web & Mobile Portal**: a responsive web application and companion mobile application (iOS and Android, built via a shared cross-platform codebase unless otherwise agreed in writing) enabling end-customers to browse products, manage accounts, place and track orders, and complete checkout;

(b) **Admin Dashboard**: an internal, role-based administrative web application enabling Client personnel to manage products, orders, customers, promotions, and reporting;

(c) **Payment Integration**: integration with a payment gateway or gateways designated by Client (e.g., Stripe or an equivalent provider mutually agreed by the Parties in the Initial SOW), including support for standard payment methods, refunds, and basic reconciliation reporting;

(d) **Inventory Management Module**: functionality for tracking stock levels, low-stock alerts, and basic multi-warehouse/location support, as detailed in the Initial SOW;

(e) **APIs and Integration Layer**: a documented backend API layer supporting the above modules and enabling future integration with Client's other systems; and

(f) **Associated Documentation**: technical documentation, deployment/runbook documentation, and administrator/user guides reasonably necessary for Client to operate and maintain the delivered application.

For the avoidance of doubt, the Services do not include the training, fine-tuning, or development of bespoke machine learning models; any AI/ML-related functionality contemplated within the Initial SOW is limited to integration with commercially available or Vendor-standard third-party AI services (e.g., product search relevance, basic recommendation logic using off-the-shelf libraries or APIs), and any expansion of AI/ML scope shall be handled via Change Order under Section 3.

2.2 Deliverables

"**Deliverables**" means the software, source code, documentation, and other work product identified as deliverables in the Initial SOW or any subsequent SOW, together with all Milestone deliverables described in Exhibit A. Each Deliverable shall be provided in a form reasonably usable by Client and, where applicable, deployed to the staging or production environment designated by Client.

2.3 Project Team and Key Personnel

(a) Vendor shall assign a project team with the skills reasonably necessary to perform the Services, including a designated Project Manager who shall serve as the primary point of contact for day-to-day coordination with Client's designated Project Lead.

(b) The individuals identified in the Initial SOW as "Key Personnel" (if any) shall not be removed from the Project or materially reduced in time allocation without Client's prior written consent, not to be unreasonably withheld, except in cases of resignation, termination for cause, extended illness, or other circumstances outside Vendor's reasonable control, in which case Vendor shall promptly propose a suitably qualified replacement at no additional cost to Client.

(c) Vendor shall provide a weekly written status update covering progress against the Milestone schedule, risks, and any blockers requiring Client input, and shall make its Project Manager reasonably available for a weekly status call.

2.4 Client Responsibilities

Client shall: (i) provide timely access to information, credentials, environments, and personnel reasonably required for Vendor to perform the Services; (ii) designate a Project Lead with authority to make day-to-day decisions on Client's behalf; and (iii) respond to Vendor's reasonable requests for review, feedback, or approval within the timeframes specified in the Initial SOW, or if none is specified, within five (5) business days. Vendor's obligations and the Milestone schedule shall be subject to reasonable adjustment to the extent any delay is directly and materially caused by Client's failure to fulfill its responsibilities under this Section 2.4, provided Vendor notifies Client promptly upon becoming aware of such delay.

3. Statements of Work and Change Control

3.1 Statements of Work

The Initial SOW is attached as Exhibit A and forms part of this Agreement. Additional Statements of Work (each, an "**SOW**") may be executed by the Parties from time to time, each of which shall reference this Agreement and become part of it upon execution by authorized representatives of both Parties. In the event of any conflict between the terms of this Agreement and an SOW, the terms of this Agreement shall govern unless the SOW expressly states that it is varying a specifically identified provision of this Agreement.

3.2 Milestone Schedule

The Initial SOW sets out a schedule of project milestones (each, a "**Milestone**"), associated deliverables, and target completion dates over the five (5) month project duration, along with the corresponding payment amount for each Milestone as set out in Section 4.

3.3 Change Control Procedure

(a) Either Party may propose changes to the scope, Deliverables, Milestone schedule, or fees under an SOW by submitting a written change request describing the proposed change in reasonable detail (a "**Change Request**").

(b) Within five (5) business days of receipt of a Change Request (or such other period as the Parties may agree), Vendor shall provide Client with a written response identifying: (i) any impact on scope, Deliverables, or the Milestone schedule; (ii) any change in fees, calculated on a basis consistent with the rates and pricing methodology used in the applicable SOW; and (iii) any other material impact Vendor reasonably anticipates.

(c) No Change Request shall be binding on either Party, and Vendor shall have no obligation to perform work outside the then-current SOW, unless and until the Parties execute a written change order signed by authorized representatives of both Parties (a "**Change Order**"). Each executed Change Order shall be deemed incorporated into and form part of the applicable SOW.

(d) Notwithstanding the foregoing, the Parties agree that minor clarifications that do not affect fees, Milestone dates, or the substantive functionality of a Deliverable (e.g., copy adjustments, minor UI styling refinements) may be handled via written confirmation (including email) between the Parties' respective Project Leads without a formal Change Order, provided such items are logged and do not, individually or in the aggregate, extend any Milestone date by more than three (3) business days.

4. Fees, Payment Terms and Invoicing

4.1 Fixed Price

In consideration of the Services to be performed under the Initial SOW, Client shall pay Vendor a total fixed fee of **USD $200,000** (the "**Project Fee**"), which the Parties agree falls within an anticipated total contract value range of USD $180,000 to $220,000 inclusive of any Change Orders reasonably anticipated as of the Effective Date. The Project Fee is a fixed price for the scope defined in the Initial SOW and shall not increase except pursuant to a duly executed Change Order under Section 3.3.

4.2 Milestone Payment Schedule

The Project Fee shall be invoiced and paid in accordance with the following Milestone schedule, as further detailed in Exhibit A:

#	Milestone	% of Fee	Amount (USD)
1	Contract signature and project kickoff; technical discovery and finalized functional/technical specification	15%	$30,000
2	UX/UI design sign-off and approved system architecture (Month 1)	10%	$20,000
3	Admin dashboard and inventory management module – functional build, deployed to staging (Month 2–3)	20%	$40,000
4	Customer web & mobile portal, including payment integration – functional build, deployed to staging (Month 3–4)	25%	$50,000
5	Integrated system testing, bug-fix cycle, and UAT support (Month 4–5)	15%	$30,000
6	Final Acceptance and production go-live (Month 5)	15%	$30,000
Total		**100%**	**$200,000**

4.3 Invoicing

Vendor shall issue an invoice to Client within five (5) business days following Client's written acceptance of the applicable Milestone in accordance with Section 10. Each invoice shall reference the applicable Milestone, this Agreement, and the Initial SOW, and shall include such supporting detail as Client may reasonably request.

4.4 Payment Terms

Client shall pay each undisputed invoice within thirty (30) days of the invoice date, by wire transfer or ACH to the account designated by Vendor. If Client disputes any portion of an invoice in good faith, Client shall notify Vendor in writing within fifteen (15) days of receipt, specifying the disputed amount and the reasons therefor, and shall pay the undisputed portion in accordance with this Section 4.4; the Parties shall work in good faith to resolve any such dispute within thirty (30) days.

4.5 Late Payment

Any undisputed amount not paid when due shall accrue interest at the lesser of one percent (1%) per month or the maximum rate permitted by applicable law, calculated from the due date until paid in full. Vendor shall not suspend Services on account of a payment dispute or delay unless the undisputed overdue amount exceeds one Milestone payment and remains unpaid for more than thirty (30) days following written notice to Client of such delinquency.

4.6 Taxes and Expenses

The Project Fee is exclusive of applicable sales, use, VAT, or similar transaction taxes, which shall be identified separately on Vendor's invoices and borne by Client, excluding taxes based on Vendor's net income. Vendor shall bear its own overhead, employment, and general business expenses. Client shall not be responsible for any travel, subsistence, or other out-of-pocket expenses unless such expenses are pre-approved by Client in writing.

4.7 Currency

All amounts referenced in this Agreement are in United States Dollars (USD).

5. Intellectual Property

5.1 Client Materials

As between the Parties, Client owns and shall retain all right, title, and interest in and to any data, content, trademarks, specifications, and other materials provided by Client to Vendor in connection with the Services ("**Client Materials**"). Vendor is granted a limited, non-exclusive, non-transferable license to use the Client Materials solely to perform the Services during the term of this Agreement.

5.2 Work Product

Subject to Section 5.3, as between the Parties, all Deliverables, source code, object code, designs, documentation, and other work product created by Vendor specifically for Client under an SOW and paid for in full by Client (collectively, "**Work Product**") shall be considered "work made for hire" to the extent permitted under applicable law. To the extent any such Work Product is not deemed a work made for hire, Vendor hereby irrevocably assigns to Client, effective upon full payment of the applicable fees, all right, title, and interest, including all intellectual property rights, in and to such Work Product. Vendor shall, at Client's reasonable request and expense, execute such further documents as are reasonably necessary to give effect to this assignment.

5.3 Vendor Pre-Existing IP and Tools

Notwithstanding Section 5.2, Vendor retains all right, title, and interest in and to: (i) any pre-existing software, frameworks, libraries, tools, methodologies, know-how, or other materials owned or developed by Vendor prior to or independently of this Agreement ("**Vendor Background IP**"); and (ii) any general-purpose, non-Client-specific improvements to Vendor Background IP developed during the course of performing the Services, provided such improvements do not incorporate or disclose any Client Materials or Client Confidential Information. To the extent any Vendor Background IP is incorporated into or required for the use, operation, or maintenance of a Deliverable, Vendor hereby grants Client a perpetual, irrevocable, worldwide, royalty-free, fully paid-up, non-exclusive license to use, execute, reproduce, modify, and create derivative works of such Vendor Background IP solely as embedded or incorporated in, and to the extent necessary to use, the applicable Deliverable.

5.4 Open Source Components

Vendor shall identify, in the technical documentation delivered with the applicable Deliverable, any material open-source or third-party software components incorporated into the Work Product, together with their applicable license terms. Vendor shall not incorporate any open-source component into a Deliverable under a license that would require Client to disclose, license, or distribute Client's proprietary source code (a "**Copyleft License**", such as the GPL or AGPL) without Client's prior written approval.

5.5 Feedback

If Client provides Vendor with suggestions, ideas, or feedback regarding Vendor Background IP or Vendor's general tools and methodologies (as distinct from Client Materials or Client's Confidential Information), Vendor may use such feedback without restriction or obligation to Client.

6. Confidentiality and Data Protection

6.1 Confidential Information

"**Confidential Information**" means any non-public information disclosed by one Party (the "**Disclosing Party**") to the other (the "**Receiving Party**"), whether orally, in writing, or otherwise, that is designated as confidential or that a reasonable person would understand to be confidential given the nature of the information and circumstances of disclosure, including business, technical, financial, and customer information, and, in Client's case, all Client Materials, customer data, and non-public product or roadmap information. Confidential Information does not include information that: (i) is or becomes publicly available through no fault of the Receiving Party; (ii) was rightfully known to the Receiving Party prior to disclosure without an obligation of confidentiality; (iii) is rightfully received from a third party without breach of any confidentiality obligation; or (iv) is independently developed without use of or reference to the Disclosing Party's Confidential Information.

6.2 Obligations

The Receiving Party shall: (i) use the Disclosing Party's Confidential Information solely to perform its obligations or exercise its rights under this Agreement; (ii) protect such Confidential Information using at least the same degree of care it uses to protect its own confidential information of similar nature, and in no event less than a reasonable degree of care; and (iii) not disclose such Confidential Information to any third party except to its employees, contractors, and advisors who have a need to know and are bound by confidentiality obligations at least as protective as those in this Section 6. The Receiving Party may disclose Confidential Information to the extent required by law or court order, provided it gives the Disclosing Party prompt notice (where legally permitted) and reasonable cooperation to seek a protective order.

6.3 Data Protection

(a) To the extent Vendor processes personal data on Client's behalf in connection with the Services, Vendor shall: (i) process such personal data only in accordance with Client's documented instructions and this Agreement; (ii) implement and maintain appropriate technical and organizational security measures designed to protect such personal data against unauthorized access, loss, or disclosure; (iii) ensure that personnel authorized to process such personal data are subject to appropriate confidentiality obligations; and (iv) not engage a subcontractor to process personal data without Client's prior written consent, such consent not to be unreasonably withheld.

(b) Vendor shall notify Client without undue delay, and in any event within forty-eight (48) hours, after becoming aware of any confirmed unauthorized access to, or disclosure or loss of, Client Confidential Information or personal data processed in connection with the Services (a "**Security Incident**"), and shall reasonably cooperate with Client's investigation and any notification obligations.

(c) Where required by applicable data protection law, the Parties shall execute a separate data processing agreement consistent with the terms of this Section 6.3, which shall be incorporated by reference into this Agreement upon execution.

6.4 Return or Destruction

Upon Client's written request following termination or expiration of this Agreement, the Receiving Party shall return or securely destroy all Confidential Information of the Disclosing Party in its possession, except to the extent retention is required by law or in accordance with the Receiving Party's standard backup and archival practices, subject to the confidentiality obligations of this Section 6 continuing to apply to any retained copies.

6.5 Survival

The confidentiality obligations in this Section 6 shall survive termination or expiration of this Agreement for a period of three (3) years, except that obligations with respect to trade secrets shall survive for so long as such information remains a trade secret under applicable law.

7. Warranties

7.1 Mutual Warranties

Each Party represents and warrants that: (i) it has the full corporate right, power, and authority to enter into this Agreement; (ii) the execution and performance of this Agreement does not violate any other agreement to which it is a party; and (iii) it shall comply with applicable laws in connection with its performance of this Agreement.

7.2 Vendor Performance Warranty

Vendor warrants that: (i) the Services shall be performed in a professional and workmanlike manner, consistent with generally recognized industry standards for similarly situated software development engagements; (ii) the Deliverables, as accepted by Client under Section 10, shall materially conform to the functional specifications set out in the applicable SOW; and (iii) it shall not knowingly introduce any virus, malware, or other malicious code into any Deliverable.

7.3 Warranty Period and Remedy

For a period of ninety (90) days following Final Acceptance of the applicable Deliverable under Section 10 (the "**Warranty Period**"), Vendor shall, at no additional cost to Client, correct any material non-conformity of a Deliverable with the applicable functional specification that is reported by Client in writing during the Warranty Period, provided such non-conformity is not caused by: (a) modifications to the Deliverable made by Client or a third party without Vendor's involvement; (b) use of the Deliverable in a manner inconsistent with the applicable documentation; or (c) third-party software, infrastructure, or services not provided by Vendor. This Section 7.3 states Client's sole and exclusive remedy, and Vendor's sole obligation, for any breach of the warranty in Section 7.2(ii).

7.4 Disclaimer

EXCEPT AS EXPRESSLY SET OUT IN THIS SECTION 7, AND TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, VENDOR MAKES NO OTHER WARRANTIES, WHETHER EXPRESS, IMPLIED, STATUTORY, OR OTHERWISE, INCLUDING ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR NON-INFRINGEMENT, EXCEPT AS OTHERWISE PROVIDED IN SECTION 8.3 (IP INDEMNIFICATION).

8. Limitation of Liability and Indemnification

8.1 Limitation of Liability

(a) Except for the Excluded Claims set out in Section 8.2, in no event shall either Party's aggregate liability arising out of or related to this Agreement exceed an amount equal to the total fees actually paid or payable by Client to Vendor under the applicable SOW in the twelve (12) months preceding the event giving rise to the claim.

(b) Except for the Excluded Claims, in no event shall either Party be liable for any indirect, incidental, consequential, special, or punitive damages, or for any loss of profits, revenue, or data, arising out of or related to this Agreement, even if advised of the possibility of such damages.

8.2 Excluded Claims

The limitations in Section 8.1 shall not apply to: (i) either Party's indemnification obligations under Section 8.3 or 8.4; (ii) a Party's breach of its confidentiality obligations under Section 6; (iii) either Party's gross negligence, willful misconduct, or fraud; or (iv) Client's payment obligations for undisputed amounts properly invoiced under Section 4. With respect to the exclusions in clauses (i) (solely as to Section 8.3) and (ii) of this Section 8.2, the aggregate liability of the indemnifying or breaching Party shall not exceed an amount equal to two (2) times the total fees paid or payable under the applicable SOW.

8.3 IP Indemnification by Vendor

Vendor shall defend, indemnify, and hold harmless Client from and against any third-party claims, damages, and reasonable costs (including reasonable attorneys' fees) arising out of an allegation that a Deliverable, as delivered by Vendor and used in accordance with the applicable documentation, infringes such third party's intellectual property rights, provided that Client: (i) promptly notifies Vendor in writing of the claim; (ii) gives Vendor sole control of the defense and settlement of the claim (provided Vendor shall not settle any claim in a manner that admits fault by Client or imposes any obligation on Client without Client's prior written consent, not to be unreasonably withheld); and (iii) provides Vendor with reasonable cooperation, at Vendor's expense. This indemnity shall not apply to claims arising from: (a) Client Materials; (b) modifications to a Deliverable not made or authorized by Vendor; (c) combination of a Deliverable with products or services not provided by Vendor, where the claim would not have arisen absent such combination; or (d) continued use of a Deliverable after Vendor has provided a non-infringing replacement or modification at no material loss of functionality. If a Deliverable is held to infringe, Vendor shall, at its option and expense, either: (1) procure the right for Client to continue using the Deliverable; (2) replace or modify the Deliverable to be non-infringing while preserving substantially equivalent functionality; or (3) if neither is commercially reasonable, terminate the applicable SOW and refund fees paid for the affected Deliverable, depreciated on a straight-line basis over eighteen (18) months from Final Acceptance.

8.4 General Indemnification by Vendor

Vendor shall additionally defend, indemnify, and hold harmless Client from and against third-party claims, damages, and reasonable costs (including reasonable attorneys' fees) arising out of: (i) bodily injury or death, or damage to tangible property, caused by Vendor's gross negligence or willful misconduct; or (ii) Vendor's breach of its confidentiality or data protection obligations under Section 6.

8.5 Indemnification by Client

Client shall defend, indemnify, and hold harmless Vendor from and against third-party claims, damages, and reasonable costs (including reasonable attorneys' fees) arising out of: (i) Client Materials, including any claim that Client Materials infringe a third party's intellectual property rights; or (ii) Client's breach of its confidentiality obligations under Section 6, subject to the procedural requirements of Section 8.3 applying mutatis mutandis.

9. Term and Termination

9.1 Term

This Agreement shall commence on the Effective Date and continue until the completion of all Services under the Initial SOW and any subsequent SOWs, unless earlier terminated in accordance with this Section 9 (the "**Term**"). The Initial SOW has an anticipated duration of five (5) months from the Effective Date, as set out in Exhibit A.

9.2 Termination for Convenience

Client may terminate this Agreement or any SOW for convenience upon thirty (30) days' prior written notice to Vendor. In the event of such termination, Client shall pay Vendor for: (i) Services satisfactorily performed and Deliverables accepted prior to the effective date of termination, on a pro-rated basis calculated by reference to the percentage completion of the then-current Milestone, as reasonably determined based on Vendor's documented progress; and (ii) reasonable, pre-approved, non-cancellable third-party costs directly incurred by Vendor prior to the effective date of termination. For the avoidance of doubt, Client shall not be obligated to pay for any Milestone that has not been reached or for anticipated fees under Milestones not yet commenced.

9.3 Termination for Cause

Either Party may terminate this Agreement or the affected SOW upon written notice if the other Party materially breaches this Agreement and fails to cure such breach within thirty (30) days following written notice describing the breach in reasonable detail. Either Party may terminate this Agreement immediately upon written notice if the other Party: (i) becomes insolvent, makes an assignment for the benefit of creditors, or becomes subject to bankruptcy or similar proceedings not dismissed within sixty (60) days; or (ii) ceases to conduct business in the ordinary course.

9.4 Effect of Termination

Upon any termination or expiration of this Agreement: (i) Vendor shall promptly deliver to Client all Work Product completed or in progress as of the effective date of termination, including source code, in the form then existing; (ii) each Party shall return or destroy the other Party's Confidential Information in accordance with Section 6.4; and (iii) any provision which by its nature is intended to survive termination (including Sections 4 (as to amounts owed), 5, 6, 7.3, 8, 9.4, and 11) shall survive.

9.5 Transition Assistance

Upon termination of this Agreement other than by Vendor for Client's uncured material breach, Vendor shall, for a period of up to thirty (30) days following the effective date of termination, provide reasonable transition assistance to Client or a successor vendor designated by Client, including knowledge transfer and access to project documentation, at Vendor's then-current standard rates (to be set out in Exhibit A or agreed in writing), provided Client requests such assistance within fifteen (15) days of termination.

10. Acceptance

10.1 Milestone Acceptance Procedure

Upon completion of each Milestone, Vendor shall notify Client in writing and provide access to the applicable Deliverable(s) for review (each, a "**Delivery Notice**"). Client shall have ten (10) business days from receipt of a Delivery Notice (the "**Review Period**") to review the Deliverable(s) against the applicable functional specification and either: (i) accept the Milestone in writing; or (ii) reject the Milestone by providing Vendor with a written list of material non-conformities with reasonable specificity to allow Vendor to reproduce and address them.

10.2 Cure Period

If Client rejects a Milestone under Section 10.1(ii), Vendor shall use commercially reasonable efforts to correct the identified non-conformities within ten (10) business days (or such other period as the Parties agree in writing, acting reasonably, based on the nature of the non-conformities) and shall re-submit the Deliverable(s) for a further Review Period of five (5) business days.

10.3 Deemed Acceptance

If Client does not accept or reject a Milestone in writing within the applicable Review Period, the Milestone shall be deemed accepted, provided Vendor's Delivery Notice included a clear statement that deemed acceptance would apply after the Review Period.

10.4 Final Acceptance

"**Final Acceptance**" means acceptance (including deemed acceptance) of the final Milestone under the Initial SOW, being production go-live of the complete application in accordance with the functional specification, as set out in Exhibit A.

10.5 User Acceptance Testing

For Milestones 5 and 6 under Exhibit A, Vendor shall support Client in performing structured user acceptance testing ("**UAT**") against agreed test scripts, including reasonable Vendor availability to triage and address issues identified during UAT prior to Client's acceptance decision.

11. General Provisions

11.1 Independent Contractor

Vendor is an independent contractor, and nothing in this Agreement shall be construed to create a partnership, joint venture, agency, or employment relationship between the Parties. Vendor is solely responsible for the supervision, direction, and compensation of its personnel, including all applicable withholdings, benefits, and employment-related taxes.

11.2 Subcontracting

Vendor may engage subcontractors to perform portions of the Services, provided that: (i) Vendor remains fully responsible for the performance of the Services and compliance with this Agreement as if performed by Vendor directly; and (ii) any subcontractor with access to Client Confidential Information is bound by written confidentiality obligations at least as protective as those in Section 6.

11.3 Insurance

During the Term, Vendor shall maintain, at its own expense: (i) commercial general liability insurance with limits of not less than USD $1,000,000 per occurrence; (ii) professional liability (errors and omissions) insurance with limits of not less than USD $1,000,000 per claim; and (iii) cyber liability insurance with limits of not less than USD $1,000,000 per claim. Vendor shall furnish Client with certificates of insurance evidencing such coverage upon reasonable request.

11.4 Non-Solicitation

During the Term and for a period of twelve (12) months thereafter, neither Party shall knowingly solicit for employment any employee of the other Party who was directly involved in the Project, provided that this restriction shall not apply to: (i) general solicitations not specifically directed at such employees (including general job postings or recruitment advertising); or (ii) an employee who responds to such a general solicitation without direct targeted solicitation.

11.5 Assignment

Neither Party may assign this Agreement without the prior written consent of the other Party, not to be unreasonably withheld, except that either Party may assign this Agreement without consent to a successor in connection with a merger, acquisition, or sale of all or substantially all of its assets relating to this Agreement, provided the assignee agrees in writing to assume all obligations under this Agreement. Any purported assignment in violation of this Section 11.5 shall be void.

11.6 Force Majeure

Neither Party shall be liable for any failure or delay in performance (other than payment obligations) to the extent caused by circumstances beyond its reasonable control, including acts of God, natural disaster, war, terrorism, civil unrest, governmental action, epidemic or pandemic, or widespread internet or utility failure, provided the affected Party promptly notifies the other Party and uses commercially reasonable efforts to mitigate the impact. If a force majeure event continues for more than thirty (30) days, either Party may terminate the affected SOW upon written notice, subject to Section 9.2 as applied mutatis mutandis for payment of Services performed to date.

11.7 Notices

All notices under this Agreement shall be in writing and delivered by email (with confirmation of receipt) and by courier or certified mail to the addresses set out in the signature block, or such other address as a Party may designate in writing. Notices shall be deemed given upon confirmed receipt.

11.8 Governing Law and Jurisdiction

This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, without regard to its conflict of laws principles. Subject to Section 11.9, the state and federal courts located in Delaware shall have exclusive jurisdiction over any dispute arising out of or relating to this Agreement, and each Party consents to the personal jurisdiction of such courts.

11.9 Dispute Resolution

In the event of any dispute arising out of or relating to this Agreement, the Parties shall first attempt to resolve the dispute through good-faith negotiation between designated senior representatives of each Party within thirty (30) days of a written request for negotiation. If the dispute is not resolved within such period, either Party may pursue any remedy available at law or in equity, including in the courts designated under Section 11.8, provided that either Party may seek injunctive or other equitable relief at any time to prevent irreparable harm, including in connection with a breach of Section 6 (Confidentiality) or Section 5 (Intellectual Property).

11.10 Entire Agreement; Order of Precedence

This Agreement, together with all Exhibits and any executed SOWs and Change Orders, constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior or contemporaneous agreements, understandings, and communications, whether written or oral. In the event of a conflict, the order of precedence shall be: (i) a Change Order; (ii) the applicable SOW; (iii) the body of this Agreement; and (iv) any Exhibit not otherwise addressed.

11.11 Amendment and Waiver

No amendment to this Agreement shall be effective unless in writing and signed by authorized representatives of both Parties. No waiver of any provision of this Agreement shall be effective unless in writing, and no failure or delay by either Party in exercising any right under this Agreement shall operate as a waiver of such right.

11.12 Severability

If any provision of this Agreement is held invalid or unenforceable by a court of competent jurisdiction, that provision shall be modified to the minimum extent necessary to make it enforceable, or if it cannot be so modified, severed, and the remaining provisions of this Agreement shall continue in full force and effect.

11.13 Counterparts

This Agreement may be executed in counterparts, including by electronic signature, each of which shall be deemed an original, and all of which together shall constitute one and the same instrument.

IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed by their duly authorized representatives as of the dates set out below.

NovaRetail Inc.	**Ruth**
Signature	Signature
Name / Title	Name / Title
Date	Date
Address for Notices	Address for Notices

Exhibit A – Initial Statement of Work

A.1 Project Overview

This Statement of Work No. 1 (the "**Initial SOW**") is entered into pursuant to, and incorporates by reference, the Master Software Development Services Agreement between NovaRetail Inc. ("Client") and Ruth ("Vendor") dated July 2026 (the "**Agreement**"). Capitalized terms used but not defined in this Exhibit A have the meanings given in the Agreement.

Vendor shall design, develop, test, and deploy the NovaRetail Commerce Platform, comprising a customer-facing web and mobile application, an administrative dashboard, payment gateway integration, and an inventory management module, as further described below.

A.2 Functional Scope

Customer Web & Mobile Application

- Product catalog browsing, search, and filtering
- Customer account registration, authentication, and profile management
- Shopping cart and checkout flow, including guest checkout
- Order placement, order history, and order status tracking
- Wishlist / saved items functionality
- Push notifications (mobile) and transactional email notifications
- Responsive web application (desktop and mobile browser) and native-equivalent mobile applications for iOS and Android via a shared cross-platform framework (React Native, unless otherwise agreed)

Admin Dashboard

- Role-based access control (minimum: Admin, Manager, Support roles)
- Product and catalog management (create, edit, publish/unpublish)
- Order management (view, update status, process refunds)
- Customer account management and support tools
- Basic sales and inventory reporting with exportable views
- Promotions and discount code management

Payment Integration

- Integration with Stripe (or an equivalent gateway mutually agreed in writing) for card payments
- Support for standard payment methods available via the selected gateway (card, and gateway-supported digital wallets)
- Refund processing initiated from the Admin Dashboard
- Basic reconciliation report (transactions vs. orders)

Inventory Management

- SKU-level stock tracking

- Low-stock threshold alerts (email notification to designated Admin users)
- Support for up to three (3) warehouse/location records at launch, with data model designed to support additional locations in future phases
- Manual stock adjustment with audit log

Non-Functional Requirements

- Application deployed on cloud infrastructure designated by Client (e.g., AWS), with infrastructure-as-code configuration delivered as part of the technical documentation
- Target page load performance of under 2.5 seconds for primary customer-facing pages under normal load, measured in the staging environment
- Support for at least 500 concurrent users on the customer-facing application without material performance degradation, as validated during Milestone 5 testing
- Industry-standard security practices for authentication, session management, and handling of payment-adjacent data (noting that full card data handling is delegated to the payment gateway to support PCI DSS scope reduction)

A.3 Out of Scope

The following are explicitly out of scope under this Initial SOW and, if required, shall be addressed via Change Order: custom ML model training or fine-tuning; multi-currency or multi-language localization beyond English (US); support for warehouse/location counts beyond three (3) at launch; native SDK development outside the agreed cross-platform framework; migration of historical data from Client's legacy systems (data migration support may be scoped separately); and marketing website content or SEO strategy work.

A.4 Milestone Schedule and Timeline

The Project shall proceed over an anticipated duration of five (5) months from the Effective Date, in accordance with the following schedule (target dates to be confirmed at kickoff and are subject to reasonable adjustment under Section 2.4 of the Agreement):

#	Milestone	Target Timing	Fee	Review Period
1	Kickoff; discovery; finalized specification	Weeks 1–2	$30,000	10 business days
2	UX/UI design sign-off; architecture approval	Weeks 3–4 (Month 1)	$20,000	10 business days
3	Admin dashboard + inventory module (staging)	Weeks 5–10 (Month 2–3)	$40,000	10 business days
4	Customer web/mobile + payments (staging)	Weeks 9–16 (Month 3–4)	$50,000	10 business days
5	Integrated testing, bug-fix, UAT support	Weeks 15–19 (Month 4–5)	$30,000	10 business days
6	Final Acceptance; production go-live	Weeks 19–20 (Month 5)	$30,000	10 business days

Milestones 3 and 4 overlap intentionally to allow parallel workstreams across Vendor's backend and frontend/mobile teams.

A.5 Project Team

Vendor shall assign a project team comprising, at a minimum: one (1) Project Manager, one (1) Technical Lead / Solutions Architect, backend engineers, frontend/mobile engineers, one (1) QA engineer, and one (1) UI/UX designer, sized appropriately by Vendor to meet the Milestone schedule. The Technical Lead / Solutions Architect shall be treated as Key Personnel under Section 2.3 of the Agreement.

A.6 Acceptance Criteria

Acceptance of each Milestone shall be based on: (i) conformance of the delivered functionality with the functional scope described in Section A.2 for the applicable Milestone; (ii) successful deployment to the designated staging environment (or production, for Milestone 6); and (iii) for Milestones 5 and 6, successful completion of the agreed UAT test scripts without unresolved critical or high-severity defects, as further defined in the test plan to be agreed by the Parties no later than the start of Milestone 5.

A.7 Assumptions

This Initial SOW is based on the following assumptions, any material change to which may give rise to a Change Request under Section 3 of the Agreement: (i) Client will designate a single Project Lead and make such individual reasonably available throughout the Project; (ii) Client will provide timely access to any required third-party accounts (e.g., payment gateway, cloud hosting) and branding/creative assets; (iii) the payment gateway and cloud hosting provider will be mutually confirmed within the first two (2) weeks of the Project; and (iv) Client feedback on design and functional deliverables will be provided within the timeframes set out in Section 2.4 of the Agreement.